

CARIBBEAN EXAMINATIONS COUNCIL
CARIBBEAN SECONDARY EDUCATION CERTIFICATE ®
EXAMINATION

PRINCIPLES OF ACCOUNTS

Paper 032 - General Proficiency

1 hour 30 minutes

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. Answer ALL questions.
2. Write ALL your answers in the spaces provided in the booklet.
3. Show ALL working clearly.
4. You may use a silent, non-programmable calculator to answer questions.
5. Do NOT write in the margins.
6. You are advised to take some time to read through the paper and plan your answers.
7. If you need to rewrite any answer and there is not enough space to do so on the original page, you must use the extra page(s) provided at the back of this booklet. Remember to draw a line through your original answer.
8. **If** you use the extra page(s) you **MUST** write the question number clearly in the box provided at the top of the extra page(s).

INSTRUCTIONS : This paper consists of a case study and ELEVEN questions. Read the case study and answer ALL the questions that follow in the spaces provided in this booklet.

CASE STUDY

Jack is a travelling salesman of plastic goods. He started business on 01 January 2013 with his personal motor vehicle worth \$30 000, \$75 000 in a business bank account and a loan from his sister for \$10 000 in cash.

1. Name ONE Book of Original Entry that Jack can use in his business.

.....
(1 mark)

2. Prepare an opening entry in the space provided below to record Jack's assets and liabilities at the start of the business. (Show clearly the amount of his capital.)

(4 marks)

3. Jack made several transactions during the month that followed, but failed to keep proper records. His transactions included the following:

February

- 02 Cash sales of \$2 500
- 03 Paid rent \$3 000 cash
- 04 Purchases of \$17 500 paid for by cheque
- 08 Bought equipment costing \$20 000 paying by cheque
- 11 Took \$4 000 from cash and deposited into the bank
- 14 Sales of \$2 900 by cheque
- 15 Paid suppliers \$1 500 by cash
- 21 Cash withdrawal for personal use \$700
- 22 Paid \$1 900 for motor vehicle repairs by cheque
- 28 Paid wages \$3 000 by cheque
- 28 Paid electricity \$900 by cash

Using the form below and beginning with opening balances, prepare Jack's Two-Column Cashbook.

Jack's Two-Column Cashbook

Date	Particulars	Cash	Bank	Date	Particulars	Cash	Bank

(7 marks)

Jack's sister advised him that his fixed assets should be depreciated to reflect their fair values at the end of the year.

Jack prefers to use the depreciation method which charges a higher amount for depreciation in the earlier years of the assets' life and a decreasing amount as the years go by. He applies a rate of 10% per annum.

- (a) What is the term used for the depreciation method that Jack prefers?

.....
(1 mark)

- (b) Calculate, in the space provided below, the book value of Jack's motor vehicle at the end of the second year of operation. (Show all working clearly.)

(4 marks)

5. On 31 December 2013, Jack had the following balances in his books.

	\$
Sales revenue	96 000
Repairs	2 200
Inventory	12 000
Purchases	55 000
Wages	18 000
Carriage inwards	2 000
Commission received	6 500
Rent	13 500
Electricity	10 800

Additional information:

Pat had paid Jack \$3 000 for plastic buckets which he promised to deliver to her during January 2014. (This amount was treated as sales.)

Jack's rent was paid up to March of the following year by an amount of SI 500.

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6. Identify the section of the Balance Sheet under which the following would be included :

(a) Prepaid revenue

.....

(b) Prepaid expense

.....

7. Jack is considering allowing customers some time to pay for goods taken. He knows that some may not meet their debts when they fall due.

Name the account that he should create to provide for that possibility.

..... (1 mark)

8. Jack had the following balances for the year ended 31 December 2014:

	\$
Accounts receivable	20 000
Accrued expenses	2 300
Bank	18 000
Inventory	12 000
Accounts payable	13 500
Cash	1 600

Determine Jack's working capital using the space provided below.

Using the balances given in Question N, calculate Jack's

(a) Current Ratio

(2 marks)

(b) Acid Test Ratio

(2 marks)

10. Jack is experiencing a favourable working capital. Define the term 'favourable working capital'.

(1 mark)

11. Jack's net income for the year was \$16 000 and his drawings were \$8 500. Using the opening capital calculated in Question I, determine Jack's closing capital at year end.

(3 marks)

Total 40 marks

END OF TEST